

copies of your tax returns, your tax-related forms, and any supporting documentation. Create a new folder for each year.

Warranties, rebates, receipts, online order forms. Hold on to these for all major purchases. The receipts will help you if you ever need to verify to an insurance company that a particular item was stolen or ruined in a fire. When you order items online, print out or download copies of the order forms to serve as receipts until the item arrives.

- **Know what to save and what to get rid of.** Some people are pack rats who habitually save every scrap of paper. (I am the worst offender.) The fact is you don't need to keep all receipts and bills. In general, you'll want to hold on to receipts related to tax-deductible expenses or those you need in order to take advantage of a warranty. You'll also want to keep receipts of major purchases for insurance purposes in case of theft or fire. Below is a detailed list of what you need to keep and what you can throw away. Make sure you shred all papers and documents before you toss them, either with a machine or by hand.

Throw away now:

Old phone bills (unless you intend to deduct a portion of your phone bill from your taxes)

Supermarket receipts

Old utility bills

ATM receipts (once you're sure the correct amount has been credited to or taken out of your account)

Save for one year:

Store receipts (except those you need for tax or insurance purposes or for proof of purchase necessary for a warranty)